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Piotroski F-Score

Understanding the Piotroski F-Score: A Tool for Value Investing

Compact Explanation

"The Piotroski F-Score is a score (0-9) measuring the financial strength of a company."



 SimFin

F-Score

Piotroski F-Score

is a A score (0-9) measuring the financial strength of a company.

$$\text{F-Score} = \sum_{i=1}^9 \text{Criteria}_i$$

- **Criteria_1 to Criteria_9:** Nine financial indicators, each either 0 (not met) or 1 (met).

Introduction

The **Piotroski F-Score** is a lesser-known but powerful tool in the world of finance, particularly in the realm of value investing.

Definition

The *Piotroski F-Score* is a scoring system developed by accounting professor Joseph Piotroski that is used to identify the financial strength of a company. It employs nine different criteria related to profitability, leverage, and operating efficiency, with each criterion contributing one point to the total score, making 9 the highest possible score.

Context and Use

The **Piotroski F-Score** is primarily used by value investors to identify potentially profitable stocks, especially from companies that have undergone financial stress recently. A high score is a positive sign, suggesting strong financial health and performance.

Detailed Explanation

The Piotroski F-Score comprises nine criteria that are divided into three different categories, each of which provides a different perspective on a company's financial situation. Each criterion, when met, adds one point to the score, for a maximum possible score of 9. Let's examine each criterion more closely:

1. Profitability Factors

- **Positive Net Income:** The first criterion is straightforward - the company must report a positive net income in the current year.
- **Positive Return on Assets (ROA) in the Current Year:** The return on assets is calculated by dividing net income by total assets. If this figure is positive, the company scores a point.
- **Positive Operating Cash Flow in the Current Year:** Operating cash flow is the cash generated by a company's normal business operations. If a company's operating cash flow is positive, it scores another point.

2. Leverage, Liquidity, and Source of Funds Factors

- **Lower Ratio of Long-term Debt in the Current Period Compared to the Previous Year:** This criterion is met if a company has reduced its long-term debt relative to the previous year. A lower long-term debt ratio suggests the company is less dependent on debt for its operations.
- **Higher Current Ratio This Year Compared to Last Year:** The current ratio is calculated by dividing current assets by current liabilities. If a company's current ratio is higher this year compared to last year, it suggests the company is more able to cover its short-term liabilities, and thus scores a point.
- **No New Shares Were Issued in the Last Year:** If a company has not issued new shares in the past year, it gets another point. Issuing additional shares can dilute existing shareholders' ownership, and it often occurs when a company needs to raise capital, which may signal financial stress.

3. Operating Efficiency Factors

- **Higher Gross Margin Compared to the Previous Year:** The gross margin is calculated by subtracting the cost of goods sold from revenue and then dividing the result by revenue. If this figure has increased from the previous year, the company earns a point.
- **Higher Asset Turnover Ratio Year on Year:** The asset turnover ratio is calculated by dividing revenue by average total assets for the period. If this figure has increased compared to the previous year, it suggests the company is using its assets more efficiently to generate sales, thus scoring a point.

Examples

If a company meets five of the nine criteria, its Piotroski F-Score would be 5. A score of 5 is considered average, while a score of 7 or above is considered strong.

Related Terms

- **Value Investing:** An investment strategy that involves picking stocks that appear to be trading for less than their intrinsic or book value.
- **Return on Assets (ROA):** An indicator of how profitable a company is relative to its total assets.
- **Current Ratio:** A liquidity ratio that measures a company's ability to pay short-term and long-term obligations.



Frequently Asked Questions (FAQ)

- Q: Is a higher Piotroski F-Score always better?** A: Generally, a higher score indicates better financial strength. However, it's just one tool and should be used in conjunction with other financial analysis methods.
- Q: Can the Piotroski F-Score predict the future success of a company?** A: While the F-Score can provide valuable insights into a company's financial health, it is based on historical data and cannot predict future performance or market conditions.

Key Takeaways

The Piotroski F-Score is a tool used to assess a company's financial strength based on nine different criteria. It can be particularly helpful for value investors seeking financially sound investments.

Conclusion

Understanding and effectively using the Piotroski F-Score can help investors make more informed decisions and potentially find profitable investments. However, it should be used as one of many tools in an investor's toolkit, not as the sole basis for investment decisions.

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